COURSE

Pearson Edexcel GCSE (9-1) in Business (1BS0)

Product

Theme 2: Building a business · Topic 2.2 Making marketing decisions · 2.2.1 The design mix and the product life cycle

Revision for Theme 2: Building a business: each firm works it out on its own deals.

Class **Pearson Edexcel GCSE Business (1BS0)** Topic **Product**

THE LESSON

Setup	3 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **New model cash flow**	TASK 2 **Extension strategy**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 3 **Life cycle in order**	TASK 4 **Sales growth %**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 5 **Extend or withdraw**	TASK 6 **Stage and profit**	**B2B deal**

Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

You have just launched a new model. You advertise it heavily, and few have sold.

What is its cash flow most likely to be?

PICK ONE

- ✔ **Negative: costs exceed sales**
- ○ Positive: no advertising needed
- ○ Positive: sales are at a peak
- ○ Zero: nothing has sold

Why: At launch, spending on stock and adverts is high and sales are low.

Task 2

ROUND 1

Sales of an old model fall each month.

Which two are extension strategies?

PICK TWO

- ✔ **Add new features or colours**
- ○ Raise its price sharply
- ✔ **Sell it to a new group of buyers**
- ○ Stop advertising it
- ○ Withdraw it at once

Why: Changing the product or finding new buyers keeps its sales going.

Task 3

ROUND 2

Four moments in the life of one model.

Put them in life-cycle order, first to last?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Few buyers know it; heavy adverts**
2. **Sales rise fast; rivals copy it**
3. **Sales high but flat; many rivals**
4. **Sales fall; buyers want newer models**

Why: Introduction, growth, maturity, decline.

Task 4

ROUND 2

Sales of your newest model.

Growth from year 2 to year 3, as a %?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Sold in year 1	**50 cars**
Sold in year 2	**190 cars**
Sold in year 3	**285 cars**

METHOD

Growth % = (year 3 – year 2) ÷ year 2 × 100

(285 – 190) ÷ 190 × 100 = 50%

Why: Sales still rising fast: the model is in its growth stage.

Task 5

ROUND 3

Your best-seller's sales are falling, but buyers still like its looks.

What should you do, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Extend it: new colours and kit**
- ○ Withdraw it now

Why: Buyers still like it, so a refresh can extend its life.

Task 6

ROUND 3

Your best-selling model's sales are high but no longer rising. Rivals sell similar models.

Which stage is it at, and what is profit like?

PICK ONE

- ○ Decline: profit near its peak
- ○ Growth: losses as costs are high
- ○ Introduction: profit near its peak
- ✔ **Maturity: profit near its peak**

Why: High, flat sales with many rivals is maturity, when profit is usually highest.

Final questions

6
questions for each pupil

150
Level 2 Business questions

2
of them on product

The game draws 6 of the 150 Level 2 questions; these 2 are about product.

1 A completely new vehicle-care service has just launched and few customers know it exists. Which product life-cycle stage is this?
Introduction.

2 A van model has been on sale six years. Sales have fallen three years running and a replacement is announced. Which life cycle stage is this?
Decline.